



CHAPTER iv.

An Act to confer further powers upon the South Staffordshire Mond Gas (Power and Heating) Company. A.D. 1917.

[24th May 1917.]

WHEREAS by the South Staffordshire Mond Gas (Power and Heating) Company's Act 1901 (in this Act referred to as "the Act of 1901") the South Staffordshire Mond Gas (Power and Heating) Company (in this Act referred to as "the Company") were incorporated and authorised to manufacture supply sell and distribute within a district described in the Act of 1901 and therein called "the South Staffordshire and East Worcestershire District" the producer gas commonly known as Mond Gas and any development of Mond Gas approved by the Board of Trade and any other producer gas so approved for the purposes of motive or other power heating or any other purpose to which such gases could be applied except that such gases were not to be supplied or used for the purposes of illumination and to do all acts and things necessary or proper for or incidental to the manufacture supply sale and distribution of the said gases for the purposes aforesaid and carrying into effect the objects of the Company as described in the Act of 1901 :

And whereas by the South Staffordshire Mond Gas (Power and Heating) Company's Act 1913 (in this Act referred to as "the Act of 1913") the Company were authorised (inter alia) to issue one-half of the share capital authorised by the Act of 1901 as preference capital entitled to a cumulative dividend not exceeding the rate of six pounds per centum per annum and by agreement with the holders thereof to redeem any portion of the five per centum debenture stock created and issued by the Company under the powers of the Act of 1901 or to substitute preference shares therefor :

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And whereas the following is a statement of the share and loan capital which the Company is authorised to create and issue or raise by the said Acts and of the amounts of such capital which have been created issued and raised and which the Company still has power to create issue and raise:—

SHARE CAPITAL.

Description of Capital.	Maximum Dividend authorised.	Nominal Value of each Share.	Amount authorised.	Amount issued and raised.	Amount remaining to be issued.
Ordinary - - -	10 per cent.	£ 10	£ 500,000	£ 340,712	£ 159,288
Cumulative Preference	6 per cent.	10	500,000	82,500	417,500

LOAN CAPITAL.

Description.	Amount authorised.	Amount issued.	Amount raised.	Amount remaining to be issued.
5 per cent. Debenture Stock -	£ 333,333	£ 128,330	£ 107,830	£ 205,003

And whereas the Company has paid all interest due on the debenture stock created and issued as aforesaid but dividends have only been paid on the preference and ordinary shares of the Company during the years next hereinafter mentioned at the following rates (namely):—

Year.	Ordinary Shares entitled to a Maximum Dividend of 10 per cent.	Preference Shares entitled to a Maximum Dividend of 6 per cent.
1911 - - - - -	1	—
1912 - - - - -	2½	—
1913 - - - - -	1½	—
1914 - - - - -	Nil	6
1915 - - - - -	Nil	6
1916 - - - - -	Nil	Nil

And whereas the demand for gas supplied by the Company for power and heating purposes is increasing and there is immediate need for an extension of the Company's works for the purpose of meeting urgent national requirements:

And whereas by reason of the financial position resulting from the present war the Company is unable to raise money by

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the issue of their unissued share capital which under the Acts relating thereto may not be issued at a price below par: A.D. 1917.

And whereas for the purpose of enabling the Company to meet such urgent requirements as aforesaid it is expedient that the present powers of the Company with reference to borrowing money on mortgage or by the creation and issue of debenture stock should be amended as by this Act provided:

And whereas the Company are authorised by the Act of 1901 to charge and receive in respect of gas supplied by them such sums as may be agreed between them and the consumer being at a rate or price not exceeding threepence per one thousand cubic feet if the quantity taken by the consumer be not less than four million cubic feet per quarter of thirteen weeks and not exceeding fourpence per one thousand cubic feet if the quantity taken by the consumer be less than the above but if at any time it be proved to the satisfaction of the Board of Trade that the price of good quality slack exceeds the price of six shillings per ton delivered at the works of the Company then the Board of Trade may by order authorise an increase in the price of gas beyond the above maximum by one-eighth of a penny per one thousand cubic feet for every one shilling by which the price of slack per ton shall exceed the price of six shillings per ton delivered at the works of the Company or by such other proportionate amount as the Board of Trade may determine and for such period in either case as the Board of Trade may fix with power to the Board to extend any such period so long as such excess of price continues:

And whereas since the passing of the Act of 1901 owing to circumstances over which the Company has no control the cost of production of gas by the Company has largely increased not only as regards the price of fuel but in various other respects and such cost of production is likely to increase still further:

And whereas the average price per thousand cubic feet now obtained by the Company for gas supplied by them is almost identical with the present cost of its production after allowing for the sale of residual products and for interest on the debenture stock of the Company but does not allow for any sum by way of dividend on the preference or ordinary capital of the Company:

And whereas it is therefore expedient that the charges for the supply of gas by the Company should be increased as by this Act provided:

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— And whereas the purposes of this Act cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows:—

Short title
and citation.

1. This Act may be cited as the South Staffordshire Mond Gas (Power and Heating) Company's Act 1917 and the Act of 1901 the Act of 1913 and this Act may be cited together as the South Staffordshire Mond Gas (Power and Heating) Acts 1901 to 1917.

Borrowing
powers.

2. The directors of the Company may without any further or other authority than is given by this section and at such times in such manner and on such terms as they may think fit raise for the purposes of their undertaking either at their option by borrowing on mortgage of the undertaking or by the creation and issue of debenture stock or partly by either of such means the sum of two hundred and five thousand pounds irrespective of the amount of capital of the Company at the time actually raised by the issue of shares or stock Provided that any moneys raised in exercise of the powers of this section shall for all purposes including the purposes of the Statutory Companies (Redeemable Stock) Act 1915 be deemed to have been created or issued and raised under the Act of 1901.

Restriction
on raising
money
during
present war.

3. Notwithstanding anything contained in this Act the Company shall not under the powers of this Act raise or borrow any money during the continuance of the present war and twelve months thereafter unless the consent of the Treasury has been previously obtained.

Charges for
supply of
gas.

4. Section 49 (Charges for supply) of the Act of 1901 is hereby repealed and in lieu thereof the following provisions shall apply as if they had been enacted in that Act:—

“Notwithstanding anything contained in any existing agreement the Company may charge and receive in respect of gas supplied by them such sums as may be agreed between them and the consumer being at a rate or price not exceeding fivepence halfpenny per one thousand cubic feet if the quantity taken by the consumer for use at any one house building or factory be not less than four million cubic feet per quarter of

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thirteen weeks and not exceeding sixpence halfpenny per one thousand cubic feet if the quantity so taken by the consumer be less than the above Provided that if at any time it be proved to the satisfaction of the Board of Trade that the cost of production of gas by the Company is in excess of the cost of such production in the month of January one thousand nine hundred and seventeen then the said Board may by order increase the said maximum prices and may from time to time vary any such order and the said Board may for such purposes institute at the expense of the Company such enquiries as they may think fit: A.D. 1917.

“Provided always that every person entitled to demand a supply of gas from the Company shall be entitled to such supply on the same terms as any other person who is receiving a corresponding supply for a similar purpose in like circumstances and the Company shall not in making any agreement for affording a supply of gas show any undue preference to any person.”

5. Section 50 (Revision of prices &c.) of the Act of 1901 is hereby repealed and in lieu thereof the following provisions shall apply as if they had been enacted in that Act:— Revision of prices.

“The Board of Trade may at any time after the month of January 1920 on the application of the Company or of any local authority within the district or of not less than twenty consumers of gas supplied by the Company revise the maximum prices contained in this Act and may on the like application make a similar revision at the expiration of a period of five years from the date at which the last such revision has taken place.”

6. All costs charges and expenses of and incident to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company. Costs of Act.

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